

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

- (i) All entities (including a natural person, a body of persons or a legal arrangement of a corporation, a partnership and a trust) with profits chargeable to profits tax in Hong Kong would qualify for the two-tiered profits tax rates. If a natural person carries on more than one sole proprietorship business, the person is taken to be a separate entity in relation to each sole proprietorship business.
- (ii) In the event that the entity has one or more connected entities at the end of its basis period for the relevant year of assessment, the two-tiered profits tax rates would only apply to the one which is nominated to be chargeable at the two-tiered rates. The others not being nominated would not qualify for the two-tiered profits tax rates.
- (iii) An entity is a connected entity of another entity if –
 - 1. one of them has control over the other;
 - 2. both of them are under the control of the same entity; or
 - 3. in the case of the first entity being a natural person carrying on a sole proprietorship business – the other entity is the same person carrying on another sole proprietorship business.

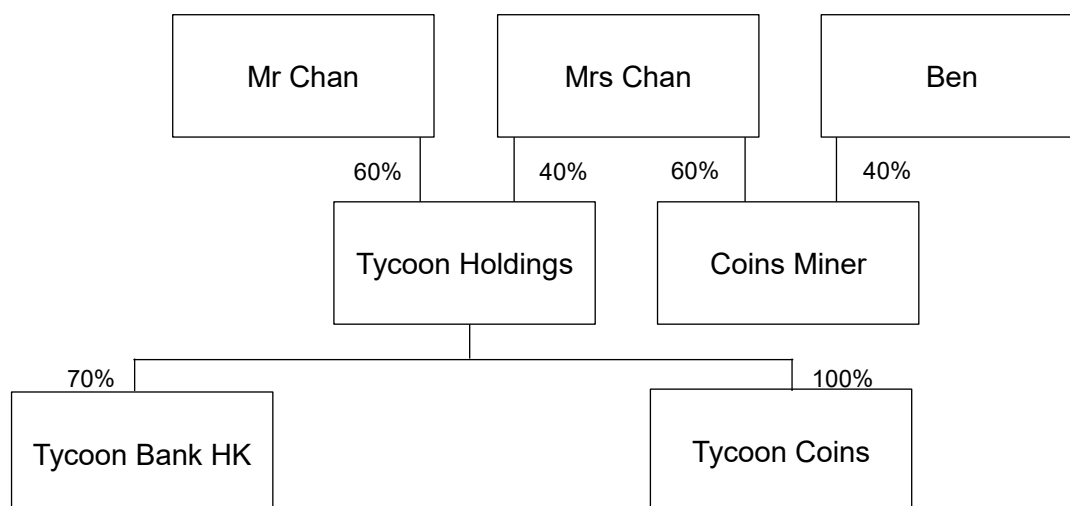
Generally, an entity has control over another entity if the first-mentioned entity, whether directly or indirectly, through one or more than one other entity:

- 1. owns or controls more than 50% in aggregate of the issued share capital of the latter entity;
 - 2. is entitled to exercise or control the exercise of more than 50% in aggregate of the voting rights in the latter entity; or
 - 3. is entitled to more than 50% in aggregate of the capital or profits of the latter entity.
- (iv) The entities which have made an election under preferential tax regime for qualifying professional reinsurance business and authorised captive insurance business (s.14B(2)(a)), qualifying corporate treasury centre (s.14D(5)(b)), qualifying aircraft lessor (s.14H(4)(b)) or qualifying aircraft leasing manager (s.14J(5)(b)) do not qualify for the two-tiered profits tax rates. However, a taxpaying entity with part of assessable profits deriving from qualifying debt instruments, which are subject to half-rate under s.14A(1) of the Inland Revenue Ordinance (“IRO”), can still qualify for the two-tiered rates.

- (v) If a non-resident person is chargeable to profits tax in the name of a Hong Kong payer in Hong Kong, the non-resident person can be chargeable to profits tax at two-tiered rates in the event that the non-resident person has no connected entity or none of its connected entity / (entities) elects to be so chargeable for the relevant year of assessment. The subject Hong Kong payer is required to check with the non-resident person to ascertain whether any one of the above criteria for the two-tiered profits tax rates has been met. Should the non-resident person be eligible for the two-tiered profits tax rates, the part of its assessable profits chargeable at lower rate under the two-tiered profits tax rates cannot exceed \$2 million in total.

Answer 1(b)

The taxpaying entities are Tycoon Holdings, Tycoon Bank HK, Tycoon Coins and Tycoon Coins in the name of Coins Miner.



Business	Issued share capital (directly or indirectly)		
	Mr Chan	Mrs Chan	Ben
Tycoon Holdings	60%	40%	-
Tycoon Bank HK	42% ^{Note 1}	28% ^{Note 2}	-
Tycoon Coins	60% ^{Note 3}	40% ^{Note 4}	-
Coins Miner	-	60%	40%

Notes:

1. Mr Chan owns or controls 42% (i.e. 60% x 70%) in aggregate of the issued share capital / is entitled to exercise or controls the exercise of 42% in aggregate of the voting rights in Tycoon Bank HK.
2. Mrs Chan owns or controls 28% (i.e. 40% x 70%) in aggregate of the issued share capital / is entitled to exercise or controls the exercise of 28% in aggregate of the voting rights in Tycoon Bank HK.
3. Mr Chan owns or controls 60% (i.e. 60% x 100%) in aggregate of the issued share capital / is entitled to exercise or controls the exercise of 60% in aggregate of the voting rights in Tycoon Coins.
4. Mrs Chan owns or controls 40% (i.e. 40% x 100%) in aggregate of the issued share capital / is entitled to exercise or controls the exercise of 40% in aggregate of the voting rights in Tycoon Coins.

Tycoon Holdings and Tycoon Coins are connected entities, as Mr Chan has control, either directly or indirectly, over the other entities. Only one of them can elect two-tiered profits tax rates.

Tycoon Coins is a connected entity of Tycoon Holdings and Tycoon Bank HK. Tycoon Coins can elect two-tiered profits tax rates if Tycoon Holdings and Tycoon Bank HK do not elect.

Coins Miner is a non-resident chargeable to profits tax in the name of Tycoon Coins, and does not have connected entity. It qualifies for the two-tiered profits tax rate in respect of the assessable profits.

Answer 2(a)

- (i) The Privy Council in *Hang Seng Bank* case provided the broad guiding principle applicable to determine the source of profits: “one looks to see what the taxpayer has done to earn his profits and where he has done it”. HK-TVB case, which approved the operation test in *Smidth & Co v Greenwood* [(1922) 8 TC 203], considered that the proper approach was to ascertain “what were the operations which produced the relevant profits and where those operations took place”.
- (ii) Bokhary PJ in *Kwong Mile Services Ltd* [(2004) HKRC 90-135] emphasised “the need to grasp the reality of each case, focusing on effective causes without being distracted by antecedent or incidental matters”. The “broad guiding principle” expressly recognised that relevant operations do not comprise the whole of the taxpayer’s activities carried out in the course of its business, but only those specific acts that were more directly responsible for generating the relevant profits.

- (iii) In ING Baring case, CFA reaffirmed Wardley case and Kwong Mile case that the relevant operation is the direct profit-generating activity instead of the whole of the taxpayer's activities carried out in the course of its business, but only that produce the profits in questions. Kim Eng case held a similar view that antecedent and incidental activities are irrelevant regardless of any significant commercial effect where possible.
- (iv) Lord Millet in ING Baring case referred to "agency" as an agent properly so called is a person who acts on behalf of another, called principal, so as to affect the principal's legal relations with a third party. The governing source for brokerage commission was the place of execution of trades. It reaffirmed the "operation test" that one is required to look into the critical steps leading to the derivation of profits, not the whole of the taxpayer's operations or business activities.
- (v) Kim Eng case was distinguished from ING Baring case that the commission income earned from the activities of bringing together the complementary needs of the customers and the overseas brokers done by a taxpayer in Hong Kong is regarded as being derived from dressing-up activities in Hong Kong by the taxpayer being a booking vehicle in substance. The activities performed by the taxpayer's agent outside Hong Kong (foreign broker) is not relevant.
- (vi) IRD's view on the general principles in determining the source of profits as summarised in paragraph 6 to 17 of DIPN No. 21 (revised) confirms the broad guiding principle. Paragraph 17(m), based on Lord Millet's principal-agency principle in ING Baring case, states that in brokerage business, it is sufficient that the transaction was carried out on the taxpayer's behalf and for his account by a person acting on his instructions, irrespective of whether the profit producing transactions were carried out by the taxpayer or his agent in the full legal sense (i.e. one who enters into a contract on his principal's behalf creating a contractual relationship between his principal and a third party). Paragraph 59 of DIPN No.21 pointed out that the act of any person carried out overseas should not be readily attributed to a taxpayer in Hong Kong.
- (vii) Commission and brokerage services fees generally arise in the place where the relevant services of the agents are performed. The place where the principals are located, how they are identified by the agents, and where incidental activities are performed prior to, or subsequent to, the earning of the commissions are not generally relevant.

Answer 2(b)

It has to be ascertained what Tycoon Coins has done to earn its income and the location in which Tycoon Coins has done it in considering the source of brokerage income. It can be argued that Tycoon Coins is an interposed person between its clients and the US brokers as agent who executed the trades on D-Coins Exchange in the US following the instruction of Tycoon Coins. As what CFA concluded in *ING Baring* case, the crucial steps in earning the brokerage income of Tycoon Coins was the place at which the purchase or sale of D-Coins was executed, i.e. US. The brokerage commission income was not earned until the transactions were executed. The administrative and supportive activities performed by Tycoon coins such as provision of latest market news and analyst reports, preparation of monthly transaction summary to the clients etc. are not relevant in determining the source of the brokerage commission income.

However, one should take note of the creation and maintaining of D-Coins Easy in Hong Kong by Tycoon Coins for the use of its clients and the activities conducted by Hong Kong sales and marketing teams in the facilitation and promotion of the transactions of D-Coins. Tycoon Coins was remunerated by brokerage rebate offered by Coins Miner as a reward for the effort of Tycoon Coins to expand D-Coins trading business in Asia-Pacific Region. It seems that Tycoon Coins earned the brokerage income from procuring new clients and certain “dressing-up” activities carried out in Hong Kong. If what Tycoon Coins did was its contractual duties to its clients in Hong Kong, then the brokerage and commission income is onshore in nature with reference to the ruling of *Wardley Investment Services (Hong Kong) Ltd* [(1993) 1 HKRC 90-068].

Answer 3(a)

As the owner of an immovable property in Hong Kong, Tycoon Bank HK is liable to property tax under Part 2 of the IRO in respect of the rental income derived thereon. Yet, the definition of “business” under s.2 of the IRO includes, inter alia, letting by any corporation to any person of any premises. Hence, Tycoon Bank HK is prima facie carrying on a business in Hong Kong, and is chargeable to profits tax under Part 4 of the IRO in respect of the relevant rental income.

Notwithstanding that the subject rental income may be chargeable to both property tax and profits tax simultaneously, s.25 of the IRO can be applied to allow the property tax paid therefrom, if any, to be utilised for setting off the profits tax liability of Tycoon Bank HK for the same year. In addition, Tycoon Bank HK may also apply for exemption from property tax under s.5(2)(a) of the IRO if the rental income is reported as assessable to profits tax.

Answer 3(b)

S.51(6) of the IRO provides that any person who ceases to carry on any trade, profession or business or who ceases to own any source of income or to be the owner of any land or buildings or land and buildings in respect of which tax is chargeable under the IRO shall so inform the Commissioner in writing within 1 month of such cessation. Pursuant to s.5(2)(c) of the IRO, where the owner is a corporation exempted from property tax under s.5(2)(a), the owner should notify the Commissioner in writing within 30 days of any change in the ownership or use of the shop premises or any other circumstances affecting the exemption previously granted.

Answer 3(c)

Whether there had been a change of intention is a question of fact. There needs to be clear evidence to support the change of intention and to ascertain the date of change of intention. It depends on all the facts and circumstances of each case and the interaction between the various factors present. The minutes of the board of directors' meeting and the relevant internal correspondence in respect of the reasons and decision made for the disposal of the shop premises are essential to ascertain any change of intention and the time of change.

When San Po Kong Shop was no longer required as the new branch of Tycoon Bank HK, it is crucial to examine what factors that the board of directors had taken into account in reviewing the future use of this shop premises. Minimally, Tycoon Bank HK can earn rental income from the sitting tenant for long term notwithstanding that the shop premises was no longer used as a new branch. Given that San Po Kong Shop was sold by Tycoon Bank HK at profit of \$5 million, being 14.3% of appreciation (i.e. \$5m / \$35m), for only one year of ownership (from 1 November 2017 to November 2018), IRD may consider that Tycoon Bank HK had changed its intention of holding the shop premises from investment to trading unless Tycoon Bank HK has proof to the contrary.

It is important to note the discussion in *Church Body of the Hong Kong Sheng Kung Hui v CIR* [(2010) HCIA 2/2009] and *Hong Kong Sheng Kung Hui Foundation v CIR* [(2010) HCIA 3/2009][(2014) CACV 41/2010] and [(2016) FACV 16/2015] on the interaction between the 7th badge of trade as provided by McHugh NPJ in *Lee Yee Shing v CIR* [(2008) 11 HKCFAR 6] for identification of evidence which established the change of intention (para. 23, 26 & 54). With reference to the principle given by the CFA in *Sheng Kung Hui* case, it is required to consider whether Tycoon Bank HK had intended to sell merely as an owner of the shop premises or as a trader. The 7th badge of trade is of critical importance and requires the determination of whether Tycoon Bank HK has expended time, money or effort in selling the shop premises that goes beyond what might be expected of a non-trader owner.

Answer 4(a)

Based on the Goepfert case and IRD's position in DIPN No.10, Bill's employment remained with Tycoon Bank US and has a source outside Hong Kong because:

- (i) Bill concluded the employment contract in US;
- (ii) Tycoon Bank US is a resident in the US; and
- (iii) Substantial portion of remuneration for Bill was paid in US.

Bill was seconded to, and rendered services in, Hong Kong. Since he is considered as a "non-visitor" and likely spent more than 60 days during a year of assessment, the exemption rule under s.8(1B) is not applicable to him.

As Bill's employment is a non-Hong Kong employment, he will only be assessed to salaries tax based on the time spent in Hong Kong.

Answer 4(b)

The gain realised by Bill from exercising his share option is an income chargeable to salaries tax under s.9(1)(d) of the IRO.

As his employment with Tycoon Bank US remained unchanged, Bill is entitled to the two tranches of share options granted.

In accordance with s.9(4) of the IRO, the tax liability crystallised when Bill exercised the two tranches of share options (i.e. 31 March 2019).

Given that Bill's employment with Tycoon Bank US was a non-Hong Kong employment, his share option was conditionally granted subject to his services both before and after his assignment to Hong Kong.

According to DIPN 38, IRD's express position is that the gains on share option will not be taxable, even if realised in Hong Kong, if the options were granted and fully vested while the employee was working outside Hong Kong.

For Tranche A, the gains of \$160,000 [(\$10 - \$2) x 20,000] is completely exempt, as it was granted (on 1 August 2016) and vested (on 31 July 2017) prior to Bill's first visit to Hong Kong on 1 April 2018.

For Tranche B, Bill's share option gain should be assessed to salaries tax on a time apportionment basis as follows:

Notional share option gain
= (US\$10 - US\$3) x 7.8 x 10,000
= HK\$546,000

Number of days during vesting period (i.e. one year from 1.9.2017 to 31.8.2018)
= 365 days

Number of days in Hong Kong during the vesting period (1.4.2018 to 31.8.2018)
= 18 days x 5
= 90 days

Therefore, the amount of Bill's share option gain that should be reported in the Tax Return-Individuals is HK\$546,000 x 90 / 365 = HK\$134,630.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5(a)

Under s.80(2)(a) of the IRO, Mr Chan as the sole proprietor of GGT, who without any reasonable excuse made incorrect returns by understating the assessable profits, commits an offence and is liable on conviction to a fine at level three (HK\$10,000) and a fine of treble the amount of tax that has been undercharged if such failure had not been detected for every year of assessment. If it is found that the mistakes that appeared in the Returns were made willfully with intent to evade tax by Mr Chan, he could be subject to a fine of maximum three times the tax undercharged, and a fixed fine at level three and imprisonment for six months (on summary conviction), or a fixed fine at level five (HK\$50,000) and imprisonment for three years (on indictment), under s.82(1) and (1A) of the IRO. The Commissioner of the Inland Revenue may compound any offence under s.80 or s.82 of the IRO and may before judgment stay or compound any proceedings thereunder pursuant to s.80(5) and s.82(2) of the IRO correspondingly.

Provided that no prosecution under s.80 or s.82 has been instituted in respect of the same facts, Mr Chan may be liable to be assessed under s.82A of the IRO to additional tax of an amount not exceeding treble the amounts of tax undercharged for the respective years.

Answer 5(b)

In line with s.430.9 of the Code of Ethics (“COE”) for Professional Accountants, NYC should promptly advise Mr Chan of the errors, and recommend him to inform the IRD of the details. In order to put forward the best position in favor of his client under s.430.2 of the COE, NYC should identify any reasonable excuse for Mr Chan to make the respective errors upon the submission of notification to the IRD regarding the errors, in order to minimise the penalty exposures. If Mr Chan does not notify the errors to the IRD, NYC should consider whether the respective tax representative services should be continued in line with s.430.9(b) and (c) of the COE. Yet, normally NYC is not obliged to inform the IRD of the errors, nor may NYC do so without Mr Chan’s permission, unless required to do so by law.

Answer 6

In evaluating the salaries tax exposure of the HK\$2.5 million that Dr Ma would be entitled to on the disposal of the patent, analysis should be made on whether the said amount should be regarded as employment income in the context of s.9(1)(a) of the IRO with respect to the employment between Dr Ma and NHH, and therefore chargeable to salaries tax under s.8(1)(a) of the IRO on the basis that the said amount was income essentially arising in or derived from the said employment in Hong Kong. Specifically, that the payment was made by the reputable life science company is irrelevant to the analysis, as s.9(1)(a) of the IRO defines that incomes are derived from the employer or others.

The analysis should focus on whether the invention of the new material was in connection with the NHH's employment, i.e. the invention was part and parcel of the employment services as explicit or implied terms identified in the employment contract. In this regard, the job specifications and duties of Dr Ma stipulated in the employment contract with NHH should be carefully reviewed. In addition, whether the process of invention was strictly monitored and controlled by NHH should also be examined accordingly, in order to evaluate if NHH could exercise a higher degree of control similar to an employer on how the invention process was to be performed. The provision of laboratory assistance, whether it was obligatory or complimentary from NHH, is also essential to determine if the invention was within the employment contexts. The patent registration and disposal proceeds apportionment arrangements should also be examined in order to evaluate if both Dr Ma and NHH had any framework arrangements entered into prior to the recognition of the patent disposal gain, and thereby outlining the integrity of Dr Ma's employment with NHH covering the invention holistically.

From a profits tax perspective, the gain from the disposal of the patent derived by Dr Ma would be chargeable to profits tax under s.14(1) of the IRO if it has been found that Dr Ma carried on trade, profession or business on inventing the new material and disposed of it for profits in Hong Kong. In evaluating this profits tax exposure, the activities performed by Dr Ma should be examined if there were any badges of trade indication in the process of invention, registration of the patent and the subsequent disposal. In this regard, the motive of Dr Ma to proceed with the invention and the nature of the new material should be reviewed carefully in order to evaluate whether the purpose of proceeding with the invention activities was merely incidental or with the intention to realise gain through patent registration and disposal upon successful invention. In addition, the history and frequency, if any, of similar inventions made by Dr Ma and / or NHH should be reviewed, as a number of similar activities may constitute a badge of trade. The circumstances responsible for the disposal of the patent should also be examined for analysis. Essentially, a proactive plan seeking relevant buyers for the patent instead of a passive approach by the life science company again may constitute a badge of trade of Dr Ma accordingly.

If it is established that, after the abovesaid analysis and evaluation, Dr Ma should be subject to neither salaries tax nor profits tax with respect to the gain derived thereon from the disposal of the patent, then Dr Ma should accordingly not be subject to any tax in the context of the IRO.

Answer 7

The acquisition of the residential property by the Party is chargeable to Ad Valorem Stamp Duty ("AVD"). As the FSPA is entered within the first 14 days upon the execution of PSPA, the chargeable agreement for sale would be the FSPA, and the time for stamping would be 30 days from the date of execution of the FSPA. Provided that the FSPA is stamped within this period, the PSPA would cease to be chargeable with AVD.

As Ms Cheung is a non-Hong Kong permanent resident ("Non-HKPR") and she is not a close relative of Mrs Lee as stipulated in s.29AL(2)(b) of the SDO, Scale 2 rates under Head 1(1A) of the SDO are not applicable in computing the AVD notwithstanding that all of them do not own any residential properties upon execution of both the PSPA and FSPA. In this connection, the applicable AVD rate is 15% pursuant to Part 1 of Scale 1 under Head 1(1A) of the SDO, and the amount of AVD is HK\$1,800,000 (\$12,000,000 x 15%). Both the Party and the property developer are jointly liable to the AVD.

On the same token that Mrs Lee and Ms Cheung are not close relatives and Ms Cheung is a non-HKPR, the acquisition would also be subject to Buyer's Stamp Duty ("BSD"), at the rate of 15%. The amount of BSD is therefore HK\$1,800,000 (\$12,000,000 x 15%). Only the Party as the buyer is liable to the BSD.

The consideration payment schedule arrangement is irrelevant in the analysis of AVD and BSD implications.

Special stamp duty is not applicable to the acquisition, as the residential property is a new property developed by the property developer.

As the acquisition was subsequently cancelled and both the PSPA and FSPA were thereafter annulled, an application for refund of both AVD and BSD may be made to the Collector of Stamp Revenue within two years after the annulment of the relevant agreements. Consequently, the PSPA and FSPA would no longer be regarded as chargeable agreements.

Answer 8

On the basis that LHL did not have any permanent establishment in the PRC, dividend income of LHL from LSL would be subject to PRC Corporate Income Tax ("CIT") on a withholding basis, and LSL would be the withholding agent. The PRC dividend withholding tax rate is 10% accordingly. Pursuant to the Double Taxation Arrangement entered between the mainland of China and the Hong Kong SAR, and subject to the fulfillment of certain relevant requirements, including LHL obtaining a certificate of residence issued by the IRD, the abovesaid withholding tax rate is reduced to 5%. LSL should withhold the tax liability and proceed with the tax withholding registration and clearance when the dividend is due or payable.

Under Caishui (2017) No.88, tax payments already settled on eligible re-investment can be refunded for encouraging non-resident investors to make direct re-investment in China. In this regard, LHL may, pursuant to stipulations under Caishui (2018) No. 102, apply for the withholding tax refund.

Answer 9

Mr Chow Personal assessment computation Year of assessment 2018/19

	HK\$
Net assessable value of Property A (\$375,000 x 0.8)	300,000
Net assessable value of Property B (\$196,000 x 0.8)	156,800
Net assessable income [\$90,000 - \$120,000 (education expenses), and amount restricted to nil]	0
Assessable profits from sole proprietor business (\$2,538,000 + \$26,000)	<u>2,564,000</u>
	3,020,800
Less: Interest on mortgage loan used to acquire: Property A	(85,300)
Property B (limited to NAV of Property B)	<u>(156,800)</u>
	2,778,700
Less: Approved charitable donation	<u>(250,000)</u>
	2,528,700
Less: Personal allowance	<u>(132,000)</u>
Net chargeable income	<u><u>2,396,700</u></u>
Tax thereon (under progressive tax rates)	
First HK\$50,000 @2%	1,000
Second HK\$50,000 @6%	3,000
Third HK\$50,000 @10%	5,000
Fourth HK\$50,000 @14%	7,000
Reminder (HK\$2,396,700 - HK\$200,000) @17%	<u>373,439</u>
	<u><u>389,439</u></u>
Tax thereon (under standard rate) HK\$2,528,700 @15%	379,305
Tax payable at lower of standard rate with Tax Reduction (HK\$379,305 - HK\$20,000)	<u><u>359,305</u></u>

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